CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



CS Disha Lohana (AIR 5,3,14)

CHAPTER – 9
PREVENTION OF OPPRESSION & MISMANAGEMENT

Q1. Explain the various exceptions under the Companies Act, 2013 to the Rule enunciated in the case of Foss vs. Harbottle. (June 2025 7 Marks)

Ans. Exceptions to the Rule enunciated in the case of Foss vs Harbottle

The Rule in Foss v. Harbottle is not absolute but is subject to certain exceptions. In other words, the Rule of supremacy of the majority is subject to certain exceptions and so that, the minority shareholders are not left helpless and desperate, but they are protected by:

- The Common Law.
- The provisions of the Companies Act , 2013.
- Action may be taken by Shareholders under Common Law

The cases in which the majority rule does not prevail are commonly known as exceptions to the rule in Foss v. Harbottle and are available to the minority. In all these cases an individual member may sue for declaration that the resolution complained of is void, or for an injunction to restrain the company from passing it.

The majority rule will not apply in the following cases –

1. Ultra Vires acts

Where the directors representing the majority of shareholders perform an illegal or ultravires act for the company, an individual shareholder has right to bring an action. In such case a shareholder has the right to restrain the company by an order or injunction of the court from carrying out an ultra vires act.

2. Fraud on Minority

Where an act done by the majority amounts to a fraud on the minority, an action can be brought by an individual shareholder.

3. Wrong doers in charge of the management control

If the wrongdoers are in control of the company, the minority shareholders' representative action for fraud on the minority will be entertained by the Court as the voice of the Minority

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Shareholders must be heard in such a situation.

4. Resolution requiring Special Majority but is passed by a simple majority

A Minority shareholder can sue if an act requiring a special majority but is passed by a simple majority. An individual shareholder has the right of action to restrain the company from acting on a special resolution to which the insufficient notice is served.

5. Personal actions by shareholders

Individual member is entitled to all the rights and privileges according to his status as a member. He can insist on the strict compliance with the legal rules, statutory provisions. Provisions in the memorandum and the articles are mandatory in nature and cannot be waived off by majority shareholders.

6. Breach of duty

The minority shareholder may bring an action against the company, where although there is no fraud, there is a Breach of duty by directors and majority shareholders to the detriment of the company.

Q2. A public limited company has 600 members. The issued and paid-up capital is Rs 5 crore consisting of 5 lakh equity shares of Rs 100 each. 90 members holding 10,000 equity shares filed a petition before the Tribunal for the purpose of relief against oppression and mis-management by majority shareholders.

In the light of the above, answer the following:

(i) Examine the relevant provisions of the law and decide whether the said petition is maintainable.

(ii) In case 40 members subsequently withdrew their consent, what will happen to the petition?

(iii) In case the total members are less than the requirement, is it possible to file a petition? If so, under what circumstances? (Dec 2024 7 Marks)

Ans. Petition to Tribunal against mismanagement by majority members

(i) Section 241 - Provides application to Tribunal for relief in cases of oppression

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As per section 244, the following members of a company shall have the right to apply, namely:

- **in the case of a company having a share capital** –
  a) not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is less, or
  b) any member or members holding not less than one-tenth of the issued share capital of the company,

  subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares;
- **in the case of a company not having a share capital** – not less than one-fifth of the total number of its members.
- In the light of the above provisions the petition is maintainable since the number of members who file petition is 90 which is more than the minimum requirement i.e 1/10 th of total number of member = 600/10=60.

(ii) Subsequent withdrawal by some members

The maintainability of the petition is to be judged to be judged with reference to the fulfilment of the criteria at the time of its filing. Once the petition is duly filed, subsequent withdrawal by some member or members will not invalidate the petition.

(iii) Maintainability when the minimum number of members is not present

Yes, the power is vested with NCLT.

The NCLT may waive all or any of the conditions.

Q3. Explain the term "Class Action" under section 245 of the Companies Act, 2013. What are the remedies which can be sought for in a petition for Class Action?

(June 2024 7 Marks)

Ans. Class Action as per section 245 of the Companies Act, 2013

- Class Action is provided under Sec 245 of the Companies Act, 2013. A class action lawsuit provides a legal advantage where many people can collectively file a lawsuit against an individual or business for similar nature of damages caused.

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- If they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking orders.

A petition for Class Action can be filed to seek the following reliefs:

(a) to restrain the company from committing an act which is *ultra vires* the Articles or Memorandum of Association of the company;

(b) to restrain the company from committing breach of any provision of the company's memorandum or articles;

(c) to declare a resolution altering the memorandum or articles of the company as void if the resolution was passed by suppression of material facts or obtained by mis-statement to the members or depositors;

(d) to restrain the company and its directors from acting on such resolution;

(e) to restrain the company from doing an act which is contrary to the provisions of this Act or any other law for the time being in force;

(f) to restrain the company from taking action contrary to any resolution passed by the members.

(g) to claim damages or compensation or demand any other suitable action from or against—

- the company or its directors for any fraudulent, unlawful or wrongful act or omission or conduct or any likely act or omission or conduct on its or their part;
- the auditor including audit firm of the company for any improper or misleading statement of particulars made in his audit report or for any fraudulent, unlawful or wrongful act or conduct; or
- any expert or advisor or consultant or any other person for any incorrect or misleading statement made to the company or for any fraudulent, unlawful or wrongful act or conduct or any likely act or conduct on his part

(h) to seek any other remedy as the Tribunal may deem fit.

Q4. A group of members of ABC Limited has filed a petition before the Tribunal alleging various acts of oppression and mismanagement by the majority shareholders of the company. The Petitioner group holds 12% of the issued share capital of the company. During the pendency of the petition, some of the petitioner group holding about 5% of the

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issued share capital of the company wish to disassociate themselves from the petition and they along with the other majority shareholders have submitted before the Tribunal that the petition may be dismissed on the ground of non-maintainability.
Examine their contention having regard to the provisions of the Companies Act, 2013.
(June 2023 4 Marks)

Ans. The argument of the majority shareholders that the petition may be dismissed on the ground of non- maintainability is not correct.

- The proceedings shall continue irrespective of withdrawl of consent by some petitioners.
- It has been held by the Supreme Court in Rajmundhry Electric Corporation vs. V. Nageswar Rao, AIR (1956) SC 213 that if some of the consenting members have subsequent to the presentation of the petition withdraw their consent, it would not affect the right of the applicant to proceed with the petition.
- Thus, the validity of the petition must be judged on the facts as they were at the time of presentation.
- Neither the right of the applicants to proceed with the petition nor the jurisdiction of Tribunal to dispose it of on its merits can be affected by events happening subsequent to the presentation of the petition.

Q5. Can a member holding less than one-tenth of the Share Capital of the company apply to the Tribunal for relief against oppression and mismanagement? Give your answer according to the provisions of the Companies Act, 2013. (June 2023 4 Marks)

Ans. Under section 244 of the Companies Act, 2013, **in the case of a company having share capital**, the following member(s) have the right to apply to the Tribunal under section 241:

a) Not less than 100 members of the company or not less than one-tenth of the total numbers of members whichever is less or
b) any member or members holding not less than one tenth of the issued share capital or the company

provided the applicant(s) have paid all the calls and other sums due on the share.

- In the given case, since the absence of any information regarding number of shareholders,

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whether condition (a) stated above is satisfied or could not be ascertained.

- If the condition relating to the number of members as per (a) stated above is satisfied then only a single member can present a petition to the Tribunal regardless of the fact that he holds less than one tenth of the company's share capital.

Q6. The concept of shareholder's democracy in the present day corporate world denotes the shareholder's supremacy in the governance of the business and affairs of corporate sector either directly or through their elected representatives. Explain what is meant by shareholders' democracy. (June 2023 3 Marks)

Ans. The concept of shareholders democracy in the present day corporate world denotes the shareholders' supremacy in the governance of the business and affairs of corporate sector either directly or through their elected representatives.

- Democracy means the rule of people, by people and for people.
- In that context the shareholders democracy means the rule of shareholders, by the shareholders, and for the shareholders in the corporate enterprise, to which the shareholders belong.
- Precisely it is a right to speak and communicate with co-shareholders and to learn about what is going on in the company.

Q7. A group of shareholders consisting of 25 members decide to file a petition to the Tribunal for relief against oppression and mismanagement by the Board of Directors of KV Ltd. The company has a total of 300 members and the group of 25 members holds one-tenth of the total paid-up share capital accounting for one-fifteenth of the issued share capital. The main grievance of the group is the due to mismanagement by the board of directors, the company is incurring losses and the company has not declared any dividends even when profits were available in the past years for declaration of dividend.

In the light of the provisions of the Companies Act, 2013, advise the group of shareholders regarding the success of -
(i) getting the petition admitted and
(ii) obtaining relief from the Tribunal. (Dec 2022 4 Marks)
(June 2018 3 Marks)

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Ans. Section 244 of the Companies Act. 2013 provides the right to apply to the Tribunal for relief against oppression and mis-management. This right is available only when the petitioners hold the prescribed limit of shares as indicated below.

1. **In the case of company having a share capital**,
   a) not less than 100 members of the Company or not less than one tenth of the of the total number of its members whichever is less or
   b) any member or members holding not less than one tenth on the issued share capital of the company,

   provided that the applicant(s) have paid all calls and other dues on the shares.

2. **In the case of company not having share capital -** not less than one-fifth of the total number of its members.

Since the group of shareholders do not number 100 or hold 1/10thof the issued share capital or constitute 1/10th of the total number of members, they have no right to approach the Tribunal for relief.

However, the Tribunal may, on an application made to it, waive all or any of the requirements specified in 1 or 2 above so as to enable the members to apply under section 241.

(ii) As regards obtaining relief from Tribunal, continuous losses cannot, by itself, be regarded as oppression (Ashok Betelnut co. P. Ltd. Vs. M.K. Chandrakanth).

Similarly, failure to declare dividents or payment of low dividends also does not amount to oppression. (Thomas Veddon V.J. (v) Kuttanad Robber Co.Ltd.) .

Thus, the shareholders may not succeed in getting any relief from Tribunal.

Q8. PBX Pvt. Ltd. is a company in which there are 6 shareholders. Mr. Bala, who is a director and also the legal representative of a deceased shareholder holding less than one tenth of the share capital of the company made a petition to the tribunal for relief against oppression and mismanagement. Examine under the provisions of the Companies Act, 2013 whether the petition made by Mr. Bala is valid and maintainable.

(June 19 4 Marks)

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Ans. According to section 244 of the Companies Act, 2013, in the case of a Company having share capital, the following member(s) have the right to apply to the Tribunal under section 241:

a) Not less than 100 members of the Company or not less than one-tenth of the total number of members, whichever is less; or

b) Any member or members holding not less than one-tenth of the issued share capital of the Company

provided the applicant(s) have paid all the calls and other sums due on the shares.

- Legal heir of the deceased shareholder with minority status is entitled to file the petition.
- In the given case, there are six shareholders. As per the condition (a) above, 10% of 6 i.e. 1 (round off 0.6) satisfies the condition.
- Therefore, in the light of the provisions of the Act, a single member (even the legal representative of a deceased shareholder) can present a petition to the Tribunal, regardless of the fact that he holds less than one-tenth of the Company's share capital.
- Thus, the petition made by Mr. Bala is valid and maintainable.

Q9. A group of members of XYZ Limited has filed a petition before the Tribunal alleging various acts of oppression and mismanagement by the majority shareholders of the company. The Petitioner group holds 12% of the issued share capital of the company.

During the pendency of the petition, some of the petitioner group holding about 5% of the issued share capital of the company wish to disassociate themselves from the petition and they along with the other majority shareholders have submitted before the Tribunal that the petition may be dismissed on the ground of non-maintainability.

Examine their contention having regard to the provisions of the Companies Act, 2013.

(Dec 2018 4 Marks)

Ans. The argument of the majority shareholders that the petition may be dismissed on the ground of non- maintainability is not correct.

- The proceedings shall continue irrespective of withdrawl of consent by some petitioners.

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- It has been held by the Supreme Court in Rajmundhry Electric Corporation vs. V. Nageswar Rao, AIR (1956) SC 213 that if some of the consenting members have subsequent to the presentation of the petition withdraw their consent, it would not affect the right of the applicant to proceed with the petition.
- Thus, the validity of the petition must be judged on the facts as they were at the time of presentation.
- Neither the right of the applicants to proceed with the petition nor the jurisdiction of Tribunal to dispose it of on its merits can be affected by events happening subsequent to the presentation of the petition.

Q10. ABC Private Limited is a company in which there are eight shareholders. Can a member holding less than one-tenth of the share capital of the company apply to the Tribunal for relief against oppression and mismanagement? Give your answer according to the provisions of the Companies Act, 2013.

(Dec 2017 4 Marks , June 2015 3 Marks)

Ans. Under section 244 of the Companies Act, 2013, in the case of a company having share capital, the following member(s) have the right to apply to the Tribunal under section 241:

(a) Not less than 100 members of the company or not less than one-tenth of the total number of members, whichever is less; or

(b) Any member or members holding not less than one-tenth of the issued share capital or the company provided the applicant(s) have paid all the calls and other sums due on the shares.

- In the given case, since there are eight shareholders.
- As per the condition (a) above, 10% of 8 i.e. 1 satisfies the condition.
- Therefore, a single member can present a petition to the Tribunal, regardless of the fact that he holds less than one-tenth of the company's share capital

Q11. A group of shareholders of DEPLOMAT TECHNO LTD., filed an application before the Company Laws Tribunal (CLT) (now NCLT) alleging various acts of frauds and mismanagement by MR. SUNNY the Managing Director and his associates.

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During the course of hearing before the Company Laws Tribunal (CLT), the authorized representatives of the said company contended that the alleged transactions had taken place several years ago and the company has already removed the Managing Director, who was responsible for such transactions and hence there is no case before the CLT to interfere in the working of the company.

Against the submissions on behalf of the company, the applicants submitted that although the fraudulent transactions were done in the past and the Managing Director has been removed, but the company is still controlled by the person, who are in league with the erstwhile Managing Director and are working as his Henchman.

State, the merits of the applicants' arguments and power of the Company Laws Tribunal (CLT) according to the provisions of the Companies Act, 2013. (Dec 2016 6 Marks)

Ans. Section 241 of companies Act, 2013 deals with the relief from oppression and mismanagement if the affairs of the company are being conducted in a manner oppressive to any member of the company or in a manner harmful or prejudicial to the company.

- The word is 'being conducted' and that should mean that the oppression and mismanagement should be continuous at the time when the relief is sought. The application is made to CLT which can take measure to give relief from oppression and mismanagement to the application.
- From the language it is clear that the Company Laws Tribunal (CLT) has no power if the oppression and mismanagement has been done in the past.
- According to the Act, the CLT can take following steps in the present case:

  (i) It can cancel any transfer of property within 3 months from the date of application.

  (ii) It can use powers u/s 246 (Application of certain provisions to proceedings u/section 241 or section 245) of Companies Act, 2013 to direct the refund of any funds that has been earned or retained by the directors, officers or managers of the company.

  (iii) Ask the applicant to be more specific and cite examples in support of his or her—application.

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EXTRA PRACTICE QUESTIONS – CS & CA PYQs

Q12. The issued, subscribed and paid up capital of OPM limited is Rs. 5 crores consisting of 50,00,000 equity shares of Rs. 10 each. The company has 700 members. A petition was made to the appropriate authority duly signed by 80 members holding 2,50,000 equity shares of the company seeking relief against oppression and mismanagement. Subsequently 20 of them withdrew consent. Explain with reference to the relevant provisions of Companies Act, 2013 and decided case law whether petition is maintainable.

Ans. As per Section 244 of the Companies Act, 2013, in the case of a company having a share capital, members eligible to apply for oppression and mismanagement shall be –

a) not less than 100 members of the Company or not less than one tenth of the of the total number of its members whichever is less or
b) any member or members holding not less than one tenth on the issued share capital of the company,

- An application which is valid when presented to the Tribunal does not cease to be maintainable by reason of any event subsequent to its presentation to the Tribunal.
- After an application is presented to the Tribunal, the withdrawal of consent by one or more members does not anyway affect the maintainability of the application.
- Accordingly, the right of the applicant to proceed with the application or the jurisdiction of the Tribunal to dispose of the application on its own merits is not affected by reason of withdrawal of consent by any member (Rajamundri Electric Supply Corporation v Nageshwara Rao)

Q13. M/s City Hospital pvt ltd has two groups of directors. A dispute arose between the two groups out of which one group controlled the majority of shares. A very serious situation arose in the administration of the company's affairs when the minority group ousted the lawful board of directors from the possession and control of the management of the company's factory and workshop. Books of accounts and statutory records were held by the minority group and consequently the annual accounts could not be prepared for two years. The majority group applied to the Tribunal u/s 241 of the Companies Act

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2013. You are required to decide with reference to the provisions of the said Act, the following issues:
a) can majority of shareholders apply to Tribunal for relief against oppression by the minority shareholders.
b) Whether tribunal can grant relief in such circumstances.

Ans. As per Section 244, in the case of **a company having a share capital**, members eligible to apply for oppression and mismanagement shall be –

a) not less than 100 members of the Company or not less than one tenth of the of the total number of its members whichever is less or

b) any member or members holding not less than one tenth on the issued share capital of the company,

- However, in case of a **company not having a share capital**, the application shall be valid only if it is made by at least 1/5th of total number of members.
- Section 244 does not stipulate that an application shall be maintainable only if it is made by the minority.
- Application to the Tribunal by majority of shareholders is valid since the right to apply to the Tribunal is not confined to minority shareholders alone. (Re. Sindri Iron Foundry Pvt. Ltd.)
- Where the application is made by a majority of members, relief may be granted if the Tribunal is satisfied that the majority is oppressed and has been rendered completely ineffective by the wrongful acts of a minority group.

Q14. In an application made to the Tribunal claiming relief against oppression and mismanagement, it is alleged that the directors of the company have misused their position in making certain inter-corporate deposits which are against the interests of the company. Will Tribunal entertain application containing such allegation in the case of a private company?

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Answer: As per Section 241 read with Section 242, for obtaining relief from oppression or mismanagement, an application is required to be made to the Tribunal. After due inquiry, the Tribunal may make such order as it may deem fit, if it is of the opinion -

(a) that the affairs of the company have been or are being conducted in a manner-

- prejudicial to public interest
- prejudicial or oppressive to the member(s) making such application or any other member(s) or
- prejudicial to the interests of the company: and

(b) that to wind up the company would unfairly prejudice such member or members, but that otherwise the facts would justify the making of a winding-up order on the ground that it was just and equitable that the company should be wound up.

- In the given case, the applicants have alleged that the inter-corporate deposits made by the company are against the interests of the company. This in itself cannot be termed as oppression or mismanagement, since the applicants have alleged that the inter-corporate deposits are against the interests of the company, but there is no evidence regarding this.

- Also, there is no continuity of acts, since to prove oppression or mismanagement it must be shown that there were continuous acts oppressing the minority. The act complained of does not justify the winding up of the company on just and equitable ground.

Q15. M/S DJ ltd, a listed company as per the audited financial statements as at 31st March 2018 is having issued and paid up equity share capital compromising of Rs. 10 lakh shares of Rs. 10 each and issued and paid up preference share capital of Rs. 5 lakh shares of Rs. 10 each respectively.

The members of the company after complying with the provisions of section 169 of the Companies Act, 2013 removed Mr. Satish from directorship of the company on 1st August 2018 before completion of his term of office.

Mr. Satish is also one of the members of the company holding 110000 fully paid-up equity shares. Mr. Satish has alleged oppression on his removal and has moved the jurisdictional Hounourable NCLT u/s 241. The board of directors is of the opinion that the application is not maintainable as per the provisions of section 244 of Companies Act. Decide.

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Also, state if any other recourse that is available with Mr. Satish.

Answer: As per Section 244, in the case of a company having a share capital, members eligible to apply for oppression and mismanagement shall be

(a) Not less than 100 members of the company or not less than one-tenth of the total number of members, whichever is less; or

(b) Any member or members holding not less than one-tenth of the issued share capital or the company provided the applicant(s) have paid all the calls and other sums due on the shares.

- We have to combine and count both Equity shareholders and Preference shareholders together.
- In the present case, the shareholding pattern of the company is as follows: Equity share capital is Rs. 1 crore divided into 10 lakh shares of Rs. 10 each. Preference share capital is Rs. 50 lakh divided into 5 lakh shares of Rs. 10 each.
- The application has been made by Mr. Satish, who holds issued share capital of Rs. 11 lakh only.
- The application made by Mr. Satish does not meet the eligibility criteria specified under Section 244, and therefore, his application is not maintainable in terms of Section 244.
- Moreover, Mr. Satish, who is a director as well as a member, is removed from directorship. This does not amount to oppression in terms of Section 241 .

Mr. Satish may explore recourse to the following measures:

As per Section 169, he shall be entitled to claim compensation for loss of office of director in accordance with the terms of his appointment or contract. However, the right to compensation is subject to the restrictions imposed under Section 202 of the Companies Act, 2013.

Q16. A group of shareholders holding 20% of the issued share capital of DEF ltd have filed a petition before the Tribunal alleging the following:

i. **Various acts of illegal, invalid and irregular transactions entered into in the name of the company.**
ii. **Losses incurred due to mismanagement by the Board of directors.**

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iii. Non-declaration of dividend despite having sufficient profits in the past years.

Answer:

i. The shareholders have alleged that the company has entered into various illegal, invalid and irregular transactions. This in itself would not constitute a ground for invoking the provisions of Section 241 unless it is proved that these acts are oppressive to the shareholders or prejudicial to the interest of the company or public interest [Seth Mohanlal Ganpatram v Shri Sayaji Jubilee Cotton and Jute Mills Co. Ltd.
Therefore, the petition of the shareholders will fail.

ii. Where a company is continuously incurring losses, it cannot be regarded as an act of oppression [Ashoka Betelnut Co. P. Ltd.] Also, incurring of losses by a company does not in itself amount to mismanagement.
However, if it is proved that due to mismanagement by the Board of directors, the company has been incurring losses, it would amount to mismanagement.

iii. A bonafide decision of the Board not to recommend dividend and to accumulate profits does not amount to mismanagement [Thomas Veddon (VJ) v Kuttanad Rubber Co. Ltd.]

Q17. Mutual Distrust pvt ltd has two shareholders namely A and B holding 51% and 49% respectively. Both are working as directors. Due to differences between them, A decides to hold a Board meeting on 30th April, 2014 but the same could not be held due to non cooperation from B and lack of quorum. Advice A about the steps that can be taken under Companies Act.

Answer: An application seeking relief from the Tribunal must make out a prima facie case that the degree of oppression or mismanagement is so severe that there is just and equitable ground for winding up of the company.

- Both the directors hold almost equal shareholding and thus have good decision making powers and it appears that holding a Board meeting is not possible due to lack of cooperation which may be termed as a deadlock.
- The Tribunal in such a case is empowered to make an order that either A or B shall buy the shareholding of the other at a fair price.

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- In case both A and B fail to buy the shareholding of the other, the Tribunal may make an order of winding up of the company under just and equitable ground [Kishan Lal Ahuja v Suresh Kumar Ahuja].
- Thus, A is advised to make an application to the Tribunal seeking such order from Tribunal.

Q18. Mr. M, a member of XYZ Ltd. filed an application before the Tribunal complaining of oppression and mismanagement w.r.t. an agreement entered by XYZ Ltd. effecting the interest of the company. Vide order passed by the Tribunal under section 242 of the Companies Act, 2013, terminated the said agreement. The agreement was entered by Mr. H and Mr. G who was managing director and the executive director of the XYZ Ltd.

Mr. Rasik, with whom the XYZ Ltd entered the agreement, filed a petition claiming the loss caused due to termination of the said agreement. Also state the legal position of Mr. H and Mr. G holding their place of office in the said situation. Examine the given facts and address the issues in terms of the relevant provisions of Companies Act, 2013.

Answer: The provision of section 243 of Companies Act 2013 states that- Where an order made under section 242 terminates, sets aside, or modifies an agreement -

a) such order shall not give rise to any claims whatever against the company by any person for damages or for compensation for loss of office or in any other respect either in pursuance of the agreement .
b) no managing director or other director or manager whose agreement is so terminated or set aside shall, for a period of 5 years from the date of the order terminating or setting aside the agreement, without the leave of the Tribunal, be appointed, or act, as the managing director or other director or manager of the company.

- In the present case, Mr. Rasik, with whom the XYZ Ltd entered the agreement, filed a petition claiming the loss caused due to termination of the said agreement, is not viable.
- Further, Mr. H and Mr. G, managing director and the executive director of the XYZ Ltd. who entered agreement with Mr. Rasik which was ordered to be terminated by the Tribunal, shall not act as the managing director or other director or manager of the company, for a period of 5 years from the date of the order terminating or setting aside the agreement, without the leave of the Tribunal.

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Q19. Members of KUN Limited holding 15% paid-up share capital (who have paid all calls and other sums due on their shares) of the company applied to the Tribunal under Section 241 of the Companies Act, 2013 for relief from oppression on the ground that the affairs of the company are being conducted in a manner prejudicial to their interest.

The Tribunal admitted the application and upon enquiry found the allegation to be genuine. There upon the Tribunal on 1st October, 2020, ordered for termination of Mr. BAP, the Managing Director of the company, with immediate effect.

Mr. BAP was appointed as the Managing Director of the company for a period of 5 years with effect from 1st April, 2017 having a clause in his letter of appointment that he would be entitled for compensation for the remaining period; in case his services are terminated by the company before expiry of his stipulated term of service.

Mr. BAP claimed compensation for the remaining term of 1.5 years. KUN Limited denied to pay the compensation but offered him to re-assume his office again after lapse of a period of 3 years from 1st October, 2020.

Referring to and analyzing the relevant provisions of the Companies Act, 2013, decide, whether the claim of Mr. BAP is tenable and proposal of KUN Limited is valid.

Answer: The provision of section 243 of Companies Act 2013 states that- Where an order made under section 242 terminates, sets aside, or modifies an agreement

a) such order shall not give rise to any claims whatever against the company by any person for damages or for compensation for loss of office or in any other respect either in pursuance of the agreement
b) no managing director or other director or manager whose agreement is so terminated or set aside shall, for a period of 5 years from the date of the order terminating or setting aside the agreement, without the leave of the Tribunal, be appointed, or act, as the managing director or other director or manager of the company.

- The claim of compensation by Mr. BAP is not tenable since he is not eligible for it based on above provisions.
- Moreover, KUN Limited's proposal offering Mr. BAP to resume his office before the expiry of a period of 3 years is also not valid since there is a restriction of a period of 5 years from the date of termination of his service.

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- But, with the leave of the Tribunal, Mr. BAP can be appointed, or act, as the Managing Director of the company, provided that the Tribunal shall not grant leave under this clause unless notice of the intention to apply for leave has been served on the CG and that Government has been given a reasonable opportunity of being heard in the matter

Q20. M/s Continuous conflicts ltd is a company controlled by two family groups. The first family group has four directors, namely Mr. A, Mr. B, Mr. C and Mr. D on the Board of directors. The second family group has two representatives Mr. X and Mr. Y on the Board.

Because of internal family troubles, the first group by virtue of its majority shareholding removed both Mr. X and Mr. Y as the directors of the company.

Aggrieved by this action the second group is planning to move an application before the Tribunal. You have been approached for advice.

Advise as to the eligibility restrictions regarding filing the application and the chances of getting relief from Tribunal assuming that there is no other material on record in support of oppression on the minority group.

Answer: To constitute oppression, the conduct complained of must affect a person in his capacity as a member of the company. Oppression in any other capacity, i.e. as a director of a company is outside the purview of Section 241.

- The relief is available only if it is established that oppression is so severe that there is just and equitable ground for winding up of the company.
- The relief is available only when the acts complained of are shown to be continued acts of oppression.
- In the given case, it has been made clear that there is no other material on record in support of oppression on the minority.
- Since the conditions specified in Section 241 have not been fulfilled, there is no oppression on the second family group and therefore, relief from the Tribunal cannot be claimed.

CS Disha Lohana

Q21. Referring to the provisions of Companies Act, as contained in section 241 of the Act, examine whether the following acts of the company amounts to oppression?

a) Allotment of shares by directors of the company by which the existing majority is reduced to minority.

b) Allotment of shares by the directors by which the existing minority shareholders are made to majority.

c) A share sale agreement was executed by VC, an NRI. The shares and transfer deed were handed over to an escrow agent. The sale was subject to RBI permission. The shares were not transferred for 6 years since RBI permission was not received. VC, after waiting for a long period of time raises the issue and complains of oppression in the capacity of a member. As per the agreement, the sale was unconditional. During the above period VC did not exercise any right as shareholder nor did the company treat him as a member.

Answer: Issue of further shares amounts to oppression if it is proved that the idea of issuing further shares was to benefit one group to the detriment of the other (Piercy v Mill(s) & Co)

Based on above, we can conclude that-

a) Allotment of shares by the directors of the company by which the existing majority is reduced to minority or vice versa, both shall amount to oppression since the intention of directors is malafide.

b) Allotment of shares by the directors of the company by which the existing majority is reduced to minority or vice versa, both shall amount to oppression since the intention of directors is malafide.

c) When a share sale agreement was executed by an NRI and the Transfer deed were handed over to an escrow agent as such sale was subject to RBI permission and full consideration money was received, then such a person after lapse of about 5 years, cannot raise an issue of oppression in the capacity of a member, as the transfer remained in abeyance awaiting RBI permission, it can be said that there is no oppression.

(The transaction not being completed, he is not recognized as a member, and no case of oppression arises.)

CS Disha Lohana

Q22. M/s Sunshine Oils limited, a listed company as at 31st March, 2018 as per the audited financial statements is having 200 depositors with Rs. 50 crores of deposit in the company.

Out of the total 200 depositors, 20 depositors of the company have formed a group and have appointed Mr. Ram (a practicing advocate who is not one of the depositors) as their representative to file an application in the National Company Law Tribunal (NCLT) to bring a class action suit against the management of the company as they are of the opinion that the management and conduct of affairs of the company are being conducted in a manner which is prejudicial to the interests of the depositors being oppressive.

Will the application of Mr. Ram be admitted by the Honourable Tribunal? Discuss with reference to provisions of Companies Act, 2013.

Answer: According to section 245 of Companies Act, 2013, such number of member or members, depositor or depositors or any class of them may, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking an orders, to restrain the company from committing an act which is ultra-vires the articles or memorandum of the company.

Requisite number of Depositors to make Application under Section 245 shall be:-

a) Not less than 100 depositors of the company **OR** At least 5% of total depositors of the company, whichever is less.

b) Depositor/depositors to whom the company owes 5% of total deposits.

- M/s Sunshine Oils Limited is a listed company having 200 depositors and deposits of Rs. 50 crores.
- Out of total 200 depositors, 20 depositors of the company have filed a class action application against M/s Sunshine Oils Limited by appointing Mr. Ram as their representative to file an application to the Tribunal.
- Based on above provisions, Required number of depositors is only 10 (5% of 200) and hence this criteria is fulfilled.

CS Disha Lohana

- Although, there is no provision under the chapter permitting Application to be filed by someone who is not an applicant i.e. Member or depositor suffering from oppression but section 432 of Companies Act, 2013 provides that- A party to any proceeding or appeal before the Tribunal may appear in person or authorize one or more chartered accountants or company secretaries or cost accountants or legal practitioners or any other person.
- Hence, Application may be made by person authorized Mr. Ram as all conditions are complied with.

Q23. A group of members holding 380 lakh issued share capital in Zolo Ltd. a listed public company having total issued share capital of 15000 lakhs as per latest financial statements alleged that company's board of directors is conducting an act which is ultra vires the articles or memorandum of the company without altering the memorandum or articles of the company.

They make application to tribunal (NCLT) to restrain the company from doing such ultra-vires act. With reference to the provision of Companies Act, 2013 ascertain whether the application will be admitted by tribunal (NCLT).

Answer: According to section 245 of Companies Act, 2013, such number of member or members, depositor or depositors or any class of them may, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking an orders, to restrain the company from committing an act which is ultra-vires the articles or memorandum of the company.

- **Requisite number of members to make Application under Section 245 shall be:-**

  In case of a company having share capital-

  a) Not less than 100 members or Not less than 5% of total members of the company, whichever is less.

     Or

  b) Members holding not less than -
     - 5% of issued share capital (in case of an unlisted company)
     - 2% of issued share capital (in case of a listed company)

CS Disha Lohana

In case of a company not having share capital: Not less than 1/5th of the total number of its members.

- In above case, members holds 2.53% (380/15000*100) of issued share capital of Zolo Ltd. which is a listed company & make application before tribunal (NCLT).
- Hence as members meet condition of 2% of issued share capital, therefore their application can be admitted by the NCLT.

CS Disha Lohana